BOARD MEETING OF THE CBA

MINUTES
(4.05.2021)

On the Refinancing Rate

The CBA Board Meeting of May 4, 2021 attended by Governor M. Galstyan, Deputy Governors N. Yeritsyan and V. Abrahamyan, and Board Members H. Ghahramanyan, A. Stepanyan, O. Aghasyan, H. Khachatryan, and D. Nahapetyan

The Board meeting opened with presentation of the Situation Report as of May 4, 2021. The inflation, external environment, and real, fiscal, financial and monetary sector developments were addressed in the context of assessment of the impact of uncertainties about the persisting pandemic and the economic outlook in the world.

It was recorded that inflation in March of 2021 stood at 1.0% compared to that of 0.5% registered in the same month of the previous year, in which case the **12-month inflation rate has increased, reaching 5.8% at the end of the month**. Alongside a headline inflation, the **12-month core inflation rate** has increased as well, amounting to **6.6%** at the end of March. During the month, the prices of item "Food products, beverages and tobacco" increased by 1.0%, the prices of non-food products by 1.6% and the service tariffs by 0.5%. It was noted that the value of consumer basket, exclusive of food and energy, has grown by 4.3% compared to the same period last year.

The Board touched upon the external sector developments for the first half of 2021; in the main partner countries of Armenia, the economic activity and demand recovery trends continue thanks to the implementation of stimulative policies, on the one hand, and certain positive results of the use of coronavirus vaccines, on the other. At the same time, with Biden coronavirus relief package in the United States and rising oil prices in Russia, it is expected that the recovery will be faster than projected in the monetary policy program. Influenced by positive expectations for a rebounding global demand and a number of supply factors observed, inflationary trends continue to emerge in the main commodity markets, which are also reflected in shaping of a higher-than-expected inflationary environment in partner countries. However, as high inflation in the United States and the Eurozone is considered transient and temporary due to the baseline effect of markedly low inflation in the same period last year, central banks in these countries will further pursue a stimulative monetary policy. Meanwhile, the Russian Central Bank will continue to gradually tighten the monetary conditions and switch to a neutral monetary policy during the year in order to curb inflationary expectations derived from accelerated inflation.

As to the economic situation in Armenia, the first quarter's developments were summed up, stating that both economic activity and domestic demand demonstrate more positive trends relative to the Central Bank's estimates. Thus, for the first quarter, the Economic Activity Indicator has decreased by 2.0% against a 6.8% decline projected in the MP program. The positive deviation mainly owed to smaller-than-expected declines in output of industry and services. Considerable improvement reported in the wholesale trade is remarkable, whereas the decline in the retail sector continues, pointing to a still weak demand. However, a faster-than-expected recovery in domestic demand has been driven mainly by more positive developments in remittances and lending to the economy, with the Government gradually reducing, at a faster rate than anticipated, the amount of fiscal policy expansion.

As to the situation in Armenia's financial market over the last 4 months, the Board admitted that the short-term market rates had reacted accordingly to previous policy rate changes by the Central Bank of Armenia, as these interest rates shaped mainly around it. An increase in yields was also observable in the government bond market, primarily in the long-term segment of the curve. The policy rate increase in the first quarter was also reflected in the behavior of loans and deposits in the banking system to a certain lag. In February-March, it was noted, some revived lending to the economy by the banking system had been observable, which, according to the Central Bank estimations, was determined by both eased terms of lending and gradual recovery of demand. At the same time, to tackle situational difficulties and disruptions in the currency market, the Central Bank of Armenia intervened in the market, helping the financial market function normally. Touching upon the issue of reacting to the CBA's monetary policy in the financial market, the Board stated that the change in the mechanism of reserve requirement, steered to ensuring that earlier initiated dramization in the country carries on, will boost up the effectiveness of the monetary policy transmission mechanism. The Board addressed the issue of the need to make a certain change in the toolkit of the Central Bank of Armenia to speed up the efficiency of different segments of the financial market.

The Board emphasized the issue of high inflationary environment, which persisted in April too, and inflation expectations resulting therefrom. It was noted that the deviation of both 12-month headline and core inflation rates from the projected path had been mainly due to supply factors, with higher-than-expected increase in domestic prices of a number of imported food products. Despite a certain increase in inflation expectations, they are estimated as manageable and are mostly anchored. However, as it was noted, public uncertainty about the future direction of inflation has increased, which may lead to risks of further acceleration of inflation expectations.

Following the presentation of the Situation Report and discussion on macroeconomic developments in external and domestic sectors, the Board began addressing the monetary policy directions and making decision on the policy interest rate. In view of the aforementioned macroeconomic situation and the inflationary effects expected from the external and domestic environments, a **scenario of raising the refinancing rate by 0.5 pp was proposed to the Board's consideration.** All members of the Board were finding the rationale for the proposed policy rate rise acceptable while admitting that a gradual phasing out of the expansionary stance of the monetary policy needs to be communicated on the background of positive developments for the global and domestic economies, the recovery of aggregate demand, and increasing inflationary effects in the first quarter. At the same time, the Board was of the opinion that the CBA actions and signals are important to reduce or neutralize public uncertainty in fulfilment of the inflation target. At the discussion, the Board members voiced alternatives to raising the policy rate – in a smaller step in one case and a bigger step in the other. In the first case, the justification was the weak domestic demand which would still linger in the near future and the temporary nature of high inflation, and in the second case, the faster return to the normal situation and the stabilizing of inflation expectations. As a result of the discussion and summed up judgement, the **CBA Board decided by a majority vote to increase the refinancing rate by 0.5 pp**, while maintaining the view that in the near future it will be consistent in neutralizing any risk of accelerating inflation expectations without harm, as much as possible, to the recovery of domestic demand. Under such conditions, the 12-month inflation is projected to gradually decrease after certain acceleration in the short run, stabilizing around the 4% target in the forecast horizon.

The Board noted that under high uncertainty about economic outlooks, risks of inflation deviating from the mid-term projection path are balanced; should such risks emerge, the CBA stands ready to respond accordingly, while fulfilling the objective of price stability.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

Deciding on the interest rate

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Interest Rates of Monetary Policy Instruments of the Central Bank of Armenia

By virtue of Article 2 (3), Article 20 "c" and "e" of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 6.0%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 7.5%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 4.5%.
4. This decision takes force on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,

Governor of the Central Bank

4 May, 2021

c. Yerevan

PRESS RELEASE
04.05.2021

At the May 4 meeting, the CBA Board decided to raise the refinancing rate by 0.5 pp, setting it at 6.0%.

In March 2021, inflation stood at 1.0% relative to 0.5% in the same month of the previous year, in which case the 12-month inflation has increased to 5.8%. The 12-month core inflation has accelerated by the same amount, reaching 6.6% at the end of March.

In the first half of 2021, signs of faster than expected economic activity and demand recovery are observable in the main partner countries of Armenia due to the implementation of stimulative policies and some positive results of the use of coronavirus vaccines. In the light of positive expectations of the recovery of global demand and a number of supply factors, high inflationary developments continue to be seen in international food markets, which is also reflected in shaping of a higher-than-anticipated inflationary environment in partner countries. In such a situation, the CBA Board continues expecting inflationary impact from the external sector on the Armenian economy.

The developments of economic activity in the first quarter of 2021 point to more positive economic trends compared with previous forecasts of the Central Bank of Armenia. Driven by growing global demand and increased remittances from abroad, as well as more positive developments in lending, the aggregate demand will recover faster than expected, but will still remain weak. At the same time, according to the estimations of the Central Bank of Armenia, public uncertainty about the future course of inflation and, to a certain extent, the inflation expectations, have increased. As a result, as estimated by the Board, some inflationary effects from the domestic economy are also emerging.

In view of the current macroeconomic situation and the inflationary effects expected from the external and domestic economies, the CBA Board estimates that the stimulative stance of monetary policy needs to phase out gradually and considers it appropriate to raise the policy rate. The Board agrees that in the near future the monetary policy will be consistent in neutralizing the risks to accelerating inflation expectations, without harm, as much as possible, to the pace of recovery of domestic demand. Under such conditions, the 12-month inflation is projected to gradually decrease after a certain acceleration in the short run, stabilizing around the 4% target in the forecast horizon. The CBA Board reckons that the risks to inflation deviating from the projected mid-term path amid uncertainties about economic outlook are balanced, and in case of their emergence the CBA stands ready to respond accordingly, ensuring the fulfilment of the price stability objective.

You can read detailed information on setting of the level of interest rate in Press Release to be published by May 18, 2021 (Minutes on Interest Rate).

Press Service of the Central Bank of Armenia